

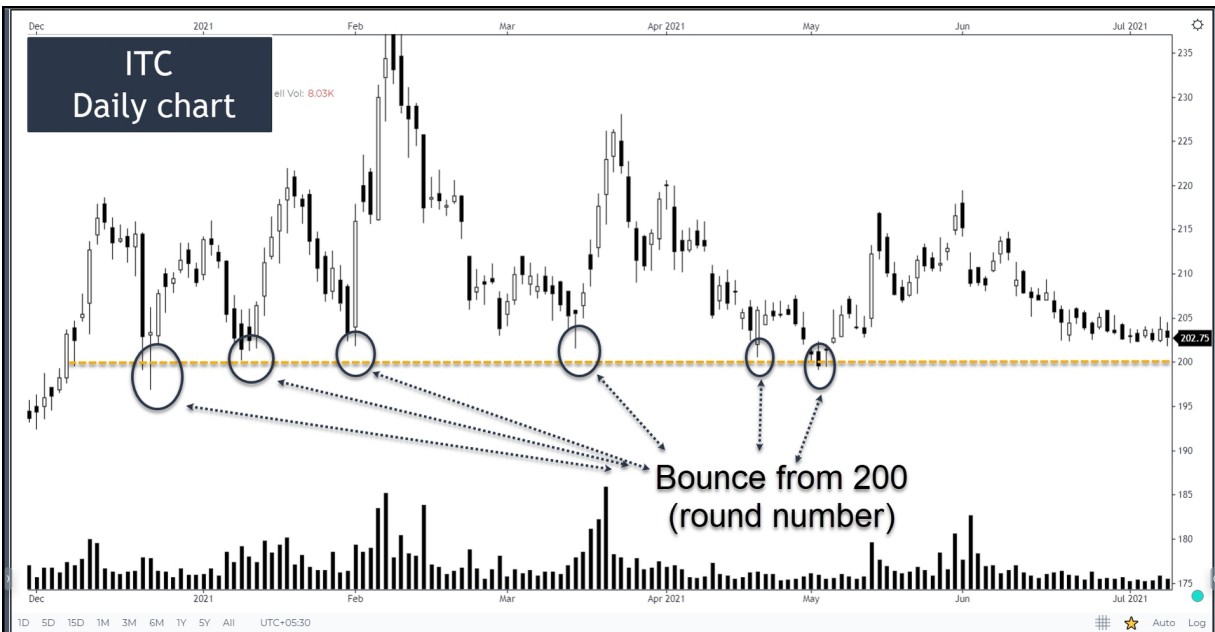


Image 3.12 – Bounce from 200 in ITC

If you look at 3.10, 3.11, 3.12 images, round numbers played a critical role. In Bharti Airtel, the price was in a downtrend. But when it comes to 500, it witnessed a strong bounce, and the price didn't come back to that level for the next few weeks.

Similarly, Banknifty took a strong resistance at 25000, and the price also displayed a bearish engulfing pattern which is a rare bearish pattern. ITC bounces many times whenever the price comes to 200.

But please note, there is no such rule that every round number acts as support or resistance. My only suggestion is to be careful with your open positions whenever the price comes close to the round numbers. If it shows signs of going against your trade, either close the trade or trail the SL. This action will save a significant portion of the losses in any trade.

Initial Balance (IB) Range

The price range of the first 1-hour after market opens is called as Initial Balance (IB) Range. On most of the trading days, it is created by retail traders who can only provide liquidity, but not the direction and momentum.